

PREPARED FOR THE SHOPIFY PAYMENTS CONVERSATION

Turn Shopify Payments — and Shop Pay — back on.

You switched Shopify Payments on last fall, then back off inside five weeks. Since then your sales are up **31% year over year** to **\$4.62M — \$2.19M online** and **\$1.66M in store**, nearly all of it on outside processors that can't use Shop Pay. Here's the math, in your numbers.

Off

Shop Pay today — dark since Oct 29, 2025
after a 5-week trial

\$4.62M

annual Shopify GMV — \$2.19M online +
\$1.66M retail

~\$4,380

/yr in third-party fee waived (online — in-
person POS is exempt)

+\$329K

est. added revenue at the 15% average Shop
Pay lift (online)

WHERE YOU ARE TODAY

Three things the current setup is quietly costing you.

Not hypotheticals — this is what's happening on Union Los Angeles right now, straight from the account.



Shop Pay is off

Your buyers' fastest checkout is unavailable.

Shop Pay's one-tap checkout only works on Shopify Payments. You ran it for about five weeks in fall 2025, then reverted to a third-party gateway — so it's been off since Oct 29, 2025, and returning buyers type everything in by hand again.



+31% YoY

You're growing fast on the slower setup.

Your Shopify GMV is up 31.4% year over year to \$4.62M — \$2.19M through the online store and \$1.66M across 5 retail locations, nearly all of it flowing through outside processors with no Shop Pay. When you're growing this fast, checkout and processing friction is the cheapest lever left to pull.



~\$365/mo

A third-party fee you don't have to pay.

On Plus, Shopify charges a 0.2% third-party transaction fee on online orders routed through an outside gateway — about \$365/month on your \$2.19M online. (In-person POS is exempt from this fee.) Shopify Payments waives it entirely.

\$4.62M

in annual GMV on Shopify — online and in store, almost none of it on Shop Pay.

This is the whole argument in one number. Your business is growing 31% a year on Shopify, yet almost none of that volume runs on Shopify Payments — your online store (\$2.19M) rides an outside gateway, and only **~\$58K of your \$1.66M** in retail is processed through Shopify today. A large share of streetwear buyers already have Shop Pay saved and check out in one tap on other stores; on Union LA none of that carries over. Consolidating online and retail turns that latent demand into your highest-converting checkout — and puts every channel on one processor.



Today: your best-converting checkout is switched off

WHAT WE TYPICALLY SEE · ILLUSTRATIVE

How much of your online base already has Shop Pay.

We don't have Union's measured reach yet, so these are the ranges we **typically see for apparel & DTC brands**, applied to your **\$2.19M online GMV**. When Shop Pay is on, these are the customers who get one-tap checkout on day one — no re-typing card, shipping, or billing.

Conservative reach

40%

Online customers already on Shop Pay	~2 in 5
Online GMV from Shop Pay-ready buyers	~\$876K
They convert faster on	one tap

TYPICAL

Moderate reach

55%

Online customers already on Shop Pay	~1 in 2+
Online GMV from Shop Pay-ready buyers	~\$1.20M
They convert faster on	one tap

Aggressive reach

70%

Online customers already on Shop Pay	~7 in 10
Online GMV from Shop Pay-ready buyers	~\$1.53M

They convert faster on

one tap

Illustrative — these are typical Shop Pay reach ranges for apparel/DTC stores applied to Union's \$2.19M online GMV, **not a measured figure for Union LA**. The exact number (a "Shop Pay Customer %, last 30 days") can be pulled from the shop's Shop Pay setup screen or the internal shop-lookup dashboard and dropped straight in here.

INTERACTIVE ROI MODEL

Run the numbers live.

Built on Union LA's actuals — **\$2.19M online** at a **\$283.69** average order. Shop Pay lifts the online checkout, and the 0.2% third-party fee is waived on online orders (in-person POS is already exempt). Adjust anything and the model recalculates instantly.

Your inputs

Conversion lift and the 0.2% fee both apply to the online store — in-person POS is exempt from the fee.

Online store GMV / yr

Shop Pay conversion lift + 0.2% fee apply here

\$

2190000

Average order value

blended, from the account

\$

283.69

3rd-party transaction fee

0.2% on Plus, on volume off Shopify Payments

0.2

%

Conversion lift from Shop Pay

7%
Conserv.

15%
Average

25%
Aggress.

Custom

15

%

The impact

Conversion lift + the 0.2% fee waived, on the online store.

ADDED REVENUE — ONLINE CONVERSION LIFT

\$328,500

+1,158 orders / yr · ≈ \$27,375 / month

THIRD-PARTY FEE WAIVED — ONLINE

\$4,380

0.2% on \$2,190,000 online, gone (POS exempt)

NET FIRST-YEAR IMPACT

\$332,880

💡 At a 15% lift you don't just win back the softness from a slow checkout — you clear it and pull ahead, on top of the 31% growth you're already posting.

CONVERSION LIFT SCENARIOS

Conservative, average, aggressive.

Shopify's own data shows Shop Pay lifts conversion **up to 50%** vs guest checkout. We model well below that — applied to your \$2.19M online store GMV across ~7,719 orders. Net includes the ~\$4,380 in third-party fees waived on the online store (in-person POS is exempt).

Conservative

+7%

Added revenue / year	+\$153,300
Extra orders / yr	+540
Extra orders / mo	+45
Net w/ fee waived	+\$157,680

TYPICAL

Average

+15%

Added revenue / year	+\$328,500
Extra orders / yr	+1,158
Extra orders / mo	+97
Net w/ fee waived	+\$332,880

Aggressive

+25%

Added revenue / year	+\$547,500
Extra orders / yr	+1,930
Extra orders / mo	+161
Net w/ fee waived	+\$551,880

WINS BY SCOPE

Online, retail, or both.

The upside depends on how much you move onto Shopify Payments. Here's what each path is worth on its own — conversion figures at the 15% average lift.



Online only

Move the online store (\$2.19M) to Shopify Payments

Shop Pay conversion lift	+\$328,500
Third-party fee waived	+\$4,380
In-store fee savings	—

NET FIRST-YEAR IMPACT

+\$332,880

the fastest path — this is where Shop Pay lives

Also unlocks: Shop Pay, Shop Pay Installments, Shop app, Audiences, Protect.



Retail only

Move 5 POS locations (\$1.66M) to Shopify Payments

Shop Pay conversion lift	— (online)
Third-party fee (POS)	\$0 — exempt
On Shopify today	~\$58K of \$1.66M

THE WIN HERE

Lower processing rate

card-rate savings vs your terminal provider + one ledger

Also gains: unified payouts, faster deposits, in-store + online in one system, Tap to Pay on iPhone.



Both — omnichannel

Online + retail on Shopify Payments

Shop Pay conversion lift	+\$328,500
Third-party fee waived (online)	+\$4,380
Retail processing rate	+ savings

NET FIRST-YEAR IMPACT

+\$332,880

+ retail card-rate savings & one source of truth

Everything above, plus a single ledger across all \$4.62M and every Shopify Payments feature live at once.

Conversion lift is modeled on the online store only (Shop Pay lifts online checkout, not in-store POS). The 0.2% third-party fee applies only to online orders on an outside gateway — in-person POS is exempt — so the fee saving is online-only (~\$4,380/yr). Retail's win is a lower card-processing rate vs the current terminal provider plus consolidation, sized once we have the in-store rate.

FEE SAVINGS

The 0.2% that disappears.

When Shopify Payments is your processor, Shopify's 0.2% third-party transaction fee is waived on your online orders — Shop Pay, Shop Pay Installments, and PayPal Express included. In-person POS orders are already exempt from this fee, so this is an online-only saving; retail wins on a lower processing rate instead.

3rd-party fee on online today

0.20% / order

On Shopify Payments

\$0 — waived

Online (\$2.19M)

~\$4,380 / yr

Retail (\$1.66M) · POS exempt

\$0 fee

\$4,380

you keep, every year — online

That's the online fee saving alone, before a single point of conversion lift. In-person POS is exempt from this fee — retail's win is a lower processing rate, not a waived surcharge.



The retail piece: you run POS Pro across 5 locations, but only **~\$58K of your \$1.66M** in retail sales is processed through Shopify today — the rest routes through outside terminals. In-person POS is exempt from the 0.2% third-party fee, so the retail win isn't a waived surcharge — it's a **lower card-processing rate** vs your current

terminal provider, plus online and in-store orders, customers, and payouts in one ledger. Share your current in-store rate and I'll size it.

WHAT IT UNLOCKS

Shopify Payments is the key to the rest of the platform.

These aren't add-ons you buy — several of them only exist once Shopify Payments is your processor. Today they're switched off.



PAYMENTS ONLY

Shop Pay

The highest-converting checkout on the internet. One tap for returning buyers, up to 50% higher conversion vs guest, and a lift just from the accelerated button being present on cart and product pages.



PAYMENTS ONLY

Shop Pay Installments

You already do **\$421K/yr** in installments through a third-party BNPL. Native Shop Pay Installments raises AOV on higher-ticket drops, you're paid in full upfront, and it's shown right on product and cart pages — no separate setup.



PAYMENTS ONLY

Shop app

Get discovered by millions of high-intent shoppers in the Shop app — with drop-day push notifications, order tracking, and re-engagement built in. Your 51K+ followers become a channel.



PLUS

Shopify Audiences

Machine-learning buyer lists built from Shopify's commerce network, exported straight to Meta, Google, and TikTok to cut acquisition cost and lift ROAS.



FREE

Shopify Protect

Free chargeback protection on eligible Shop Pay orders. Fraudulent chargebacks are covered by Shopify at no extra cost.



RETAIL

Unified in-store + online

With POS Pro live across your 5 locations, moving retail onto Shopify Payments means Tap to Pay, faster payouts, and one ledger for every channel — no reconciling outside terminal statements.



INCLUDED

Shopify Markets

Sell across borders with local currencies and payment methods — buyers pay in their currency while you settle in yours. Made for a brand with global demand.



INCLUDED

Unified payouts & dashboard

Payments, payouts, disputes, and reporting in one place with faster payout schedules. No separate gateway statements to reconcile every month.



INCLUDED

Built-in fraud analysis

Machine-learning fraud detection, risk flags, and automated holds included — fewer bad orders slipping through, less manual review.

YOU'D BE IN GOOD COMPANY

Streetwear and apparel already run on Shopify Payments.

From scaled DTC brands to global apparel, Union LA's peers build on Shopify Payments and Shop Pay.

\$500M+

Gymshark — a Shopify Plus story

The fitness-apparel brand scaled past nine figures in annual sales on Shopify Plus, running Shop Pay as its highest-converting checkout across global drops. Same playbook you're considering — accelerated checkout on a high-velocity drop model.

Allbirds

Sustainable footwear & apparel

Shopify Plus

Fashion Nova

Fast-fashion DTC

Shopify Plus

Rothy's

Knit footwear DTC

Shopify Plus

Chubbies

Apparel, drop model

Shopify Plus

Rebecca Minkoff

Contemporary fashion

Shopify Plus

UNTUCKit

Apparel, omnichannel

Shopify Plus

Public Rec

Premium athleisure

Taylor Stitch

Menswear DTC

Shopify

Shopify

GETTING STARTED

How to switch Shopify Payments back on.

You've done this once already, so most of your details are on file — reactivation takes minutes from your Shopify admin. Here's the full flow, and the one step that actually waives the third-party fee.

Before you start — have these ready

- ☐ Business bank account in the US (for payouts)
- ☐ Legal business name, address, and business type
- ☐ Authorized representative's details + government ID
- ☐ Two-step authentication enabled on the account
- ☐ Tax ID (EIN)
- ☐ Bank routing and account numbers

1

Open Settings → Payments

In your Shopify admin, click Settings, then Payments. Shopify Payments sits at the top; your third-party gateway shows as the active provider.

 Shopify Payments Shop Pay, Apple Pay & Google Pay	Activate
 Third-party gateway active	Manage

2

Activate Shopify Payments

Click **Activate Shopify Payments** (you may see "Switch to Shopify Payments" coming from another gateway). This reopens the onboarding form — pre-filled from your fall 2025 activation.

3

Confirm business & representative details

Verify your business type, legal name, address, and tax ID, then the authorized representative's details. Most of this should already be saved from last year.

Set statement descriptor & payout schedule

Choose how Union LA appears on customers' card statements, and set your payout schedule — daily, weekly, or monthly.

5

Confirm your payout bank account

Verify the business bank account where Shopify deposits your payouts.

6

Submit for verification

Save to submit. Shopify verifies your details, occasionally requesting a document. Make sure two-step authentication is on, or payouts can be paused.

7

Deactivate the third-party gateway — this waives the fee

Back on Settings → Payments, manage the third-party provider and deactivate it so Shopify Payments is your sole card gateway. This is the step that removes the 0.2% third-party transaction fee (~\$4,380/yr on your online orders — in-person POS is already exempt).

Shopify Payments Active · sole card gateway

Manage

Third-party gateway Third-party provider

Deactivate

⚡ Until the third-party gateway is off, the 0.2% fee can still apply — don't skip this step (it's the one that got missed last time).

8

Confirm Shop Pay & place a test order

Shop Pay, Apple Pay, and Google Pay switch on automatically with Shopify Payments. Run a test order to confirm checkout and your first payout — and you're live. Point of Sale can move onto Shopify Payments the same way across your 5 locations.

THE BOTTOM LINE

Switching pays for itself many times over.

NET FIRST-YEAR IMPACT · ONLINE · AVERAGE SCENARIO

+\$332,880

+\$328,500 online conversion lift @ 15%

+\$4,380 third-party fee waived (online)

+ retail processing-rate savings

Prepared for Union Los Angeles · Shopify Payments opportunity · by Nicole DeGennaro.

Figures are estimates built from the Union LA Shopify account and CRM shop profile (shop 510392, synced 2026-09-11): \$4.62M annualized GMV, of which \$2.19M is online store GMV and \$1.66M is POS (retail) GMV across 5 POS Pro locations, up 31.4% YoY; \$283.69 blended average order value; Shopify Payments activated 2025-09-23 and deactivated 2025-10-29; Shop Pay and Shop Pay Installments not currently adopted; \$421.73K installments GMV through a third-party BNPL provider; retail GPV processed through Shopify of ~\$57.5K against \$1.66M in retail sales. Conversion-lift scenarios (7% / 15% / 25%) are illustrative and applied to online store GMV only, based on Shopify's published Shop Pay benchmark of up to 50% higher conversion vs guest checkout; conversion lift is realized on the online checkout, not on in-store POS. The 0.2% third-party transaction fee (Plus) applies only to online orders processed through a third-party gateway (~\$4,380/yr on \$2.19M online); in-person POS orders are exempt from this fee, so there is no third-party-fee saving on retail — the retail opportunity is a lower card-processing rate vs the current terminal provider plus consolidation. Net-impact figures include only the online fee saving. Shop Pay reach figures under "What we typically see" (40% / 55% / 70%) are illustrative ranges typical of apparel/DTC stores applied to the \$2.19M online GMV — not a measured figure for Union LA; the store's actual "Shop Pay Customer %, last 30 days" can be substituted when pulled. Actual results vary. Peer platform status is from public store-technology signals; Gymshark's scale is from Shopify's published enterprise materials.